

UnitedHealth Q4 2025 Earnings

Blind Sentiment & Directional Score: Outlook/guidance only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases BEFORE the market open. The overnight move is defined as $(\text{release-day Open} \div \text{prior-trading-day Close}) - 1$, the same reaction window shifted because the release lands before trading starts.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Outlook/guidance only** as the ONLY report content. The other sections (the reported financial results, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	UnitedHealth Group Incorporated (UNH)
Report	Q4 2025
Release date	Tuesday 27 January 2026, BEFORE the market open
Earnings call	8:00am ET
Source	Motley Fool transcript
Read mode	cold; management outlook/guidance only, no reported results, no Q&A, no price chart
Time to produce	40 minutes

Source material (read ONLY this)

Forward guide (assigned source: outlook/guidance only)

- “We expect revenues of approximately \$440 billion” for 2026 (Wayne DeVeydt, CFO), a modest decline from nearly \$448B in 2025.
- “We expect adjusted earnings per share of greater than \$17.75 for growth of at least 8.6%” (Stephen Hemsley, CEO), with net earnings guidance of at least \$17.10 per share.

- “*The medical care ratio is expected to be 88.8% plus or minus 50 basis points*” (DeVeydt), with the first half tracking below the midpoint and the second half above.
- Medicare Advantage membership contraction guided to 1.3 to 1.4 million members for the year, with Medicare margins expected to improve approximately 50 basis points. Medicaid membership contraction of approximately 565,000 to 715,000, with rate increases of 6 to 7% still below trend (Tim Noel).
- Optum: adjusted earnings growth across all three segments with margin expansion of 20 to 90 basis points. Operating cost ratio 12.8% plus or minus 50 basis points; at least \$18B from operations; operating cost reductions of nearly \$1B, many AI enabled.

Your scoring: fill in below, then seal

1 Sentiment score

Score: +0.50

Rationale. Guidance puts adjusted EPS growth above 8.6% with the medical care ratio improving over a hundred basis points and margin expansion across every Optum segment.

2 Directional signal

Signal: BUY

Rationale. A quantified return to earnings growth after a year of downgrades is the turn the market has waited for. BUY.

3 Structured summary

- **What the source shows.** Management has committed to specific EPS growth and a materially better care ratio.
- **What the source cannot show.** No reported quarter, so cannot verify the exit run rate the guide builds from.
- **Expectations bar.** After repeated cuts, any credible growth guide should beat a low bar.
- **Conviction.** Moderate conviction: revenue is guided down, but the earnings line is what is being fixed.

4 Evidence quotes

1. “*We expect revenues of approximately \$440 billion*” for 2026 (Wayne DeVeydt, CFO), a modest decline from nearly \$448B in 2025.
2. “*We expect adjusted earnings per share of greater than \$17.75 for growth of at least 8.6%*” (Stephen Hemsley, CEO), with net earnings guidance of at least \$17.10 per share.
3. “*The medical care ratio is expected to be 88.8% plus or minus 50 basis points*” (DeVeydt), with the first half tracking below the midpoint and the second half above.

— SEALED —

Overnight move and call verification

UNH close, 26 January 2026 (prior trading day)	\$351.64
UNH open, 27 January 2026 (release day)	\$293.97
Overnight move	−16.40%

Call verification

- HOLD band test: $|-16.40\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is negative, so the correct directional call is **SELL**.
- Score given vs. correct call: signal was **BUY**, correct call **SELL**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	−16.40%
D+1 close	−19.61%
D+3 close	−16.88%
D+5 close	−18.78%
D+10 close	−21.60%
D+20 close	−22.09%